Galaxy Digital (GLXY) | Earnings Update

3Q26 (FY26) | 28 October 2026 | Post-call version | Josh, with Trevor on Q&A

Post-call version. Call held 27 October 2026; transcript read 28 October (Motley Fool, LLM-assisted). Developer / landlord mode. 10-Q not yet filed. One transcript held, so Q&A history is a single quarter.

1 Executive snapshot

Consensus thesis: Investors own Galaxy as a crypto franchise with a contracted Helios annuity underneath; at about $17 the price roughly equals contracted Helios value, so the debate is whether CoreWeave's credit stress makes that annuity worth less than the sell side assumes.

Thesis status: Intact

Versus expectations: Quarter: beat. Adjusted EPS $0.83 vs a -$0.13 to +$0.04 range, but $395mn of the $455mn adjusted EBITDA came from crypto and private marks. Data Centers in line: leasing revenue $79.1mn vs the ~$80mn guide. Outlook: in line on the ramp (exit-2027 leasing run-rate $800-850mn, per call) but below hopes on Helios II timing. Shares +9.6% on 27 October to $17.18; $17.38 at 10:02 ET today.

Biggest changes

- Helios II reset: Galaxy walked away from a summer deal because the wrap offered did not give investment-grade protection to debt and equity. The search now targets IG hyperscalers or credit-enhanced tenants, with no fixed date (2028 data halls, power around mid-2028).
- CoreWeave exposure clarified: the Helios I leases sit with CoreWeave's parent, behind site-level GPU lenders; the load is allocated to an IG hyperscaler for now. Cash rent and the -$152mn working-capital swing went undiscussed.
- Ramp and funding confirmed: exit-2027 run-rate $800-850mn; Phase II $675mn is a GAAP clarification, not new economics; Phase III equity-funded with debt in 1H27; December exchangeable repaid from resources.
- Power: ERCOT Batch Zero conditionally classified ~4.2 GW across five projects (>1.6 GW at Helios I-II); 2.6 GW sits in study load; clarity around April 2027.

Investor takeaway: No change to the consensus view in direction: the call confirmed the Phase I annuity and the 2027 ramp and showed discipline on Helios II credit, but pushed the Helios II catalyst out and left cash rent from CoreWeave unaddressed, so long-term compounding holds while credit quality still rests on one sub-investment-grade parent.

What to monitor next quarter

1. 10-Q (due within weeks): cash rent received from CoreWeave, the deferred or straight-line rent balance, and what drove the -$152mn Data Centers working-capital outflow.
2. Texas audit results (December) and Batch Zero allocations (around April 2027): they set Helios II-IV timing and the next tenant conversation.
3. Phase III debt in 1H27 (loan-to-cost, coupon vs 9.875% on Phase II) and repayment of the $445mn exchangeable in December from cash.

2 Key changes this quarter

Pillar	What the market assumed	What the quarter and call showed	Verdict	Source
1 Phase I annuity	~$80mn a quarter at >90% lease-level margin from 3Q26	Leasing revenue $79.1mn; segment adj. EBITDA $68.7mn (86.9% after overhead); segment operating cash flow -$129.1mn; cash rent not discussed on call	Confirmed (revenue); cash unresolved	Release; Ex.99.3; call
2 Phase II on time and funded	First halls 2Q27; notes cover the build; no new equity	On schedule, within budget, 'fully funded'; much of remaining spend in 1H27; parent put a net $439mn into the segment in 3Q26	Confirmed, with parent support	Release; Ex.99.3; call
3 CoreWeave pays	Lease cash flows safe despite tenant stress	Leases with CoreWeave parent (behind GPU lenders); load allocated to an IG hyperscaler (per CoreWeave); no disclosure of cash rent, security or amendments	Unresolved	Call (Ferraro)
4 Helios II catalyst	830 MW tenant within about six months	Summer deal not signed on terms offered; no LOI; broader IG-only process; no fixed date, 2028 data halls the backstop	Challenged	Call (Novogratz, Ferraro)

Pillar	What the market assumed	What the quarter and call showed	Verdict	Source
5 Crypto drives EPS	EPS swings with crypto; -$0.13 to +$0.04	Treasury & Corporate adj. EBITDA $395mn of $455mn; adj. EPS $0.83	Confirmed	Release

Shift	Detail
Emphasized more	Tenant credit discipline ('investment-grade protection for both our debt and our equity'); look-through to CoreWeave's end customer; ERCOT Batch Zero and the Texas audit as gating items
Emphasized less / dropped	A near-term Helios II signing (precall release: 'continues to advance discussions'); the 15-year average phase revenue (now run-rate at full turnover)
New disclosure	Data Centers cash-flow statement (release); leases are with CoreWeave's parent; $230mn Helios II equipment committed; exit-2027 run-rate $800-850mn (call only)
KPIs more important	Cash rent and working capital; parent contributions; Batch Zero status by site; Phase III loan-to-cost
Risks up / down	Up: Helios II timing, structural subordination to CoreWeave's GPU lenders. Down: exchangeable refinancing, Phase II economics doubt, Texas permits gating current builds

→ The call moved the debate from whether Helios II signs soon to what credit it signs with; that lowers near-term upside and raises the quality of any eventual lease.

Analyst focus (Trevor)

Topic (3Q26 call)	Analyst (firm)	Answer	Rating
Power and sites / tenant: why Helios II deal dropped	W. Kops for P. Moley (Piper Sandler)	Market shifted; competitor delays; wraps fell short	Direct
Capex and funding: priorities, December notes	J. Yaro (Goldman Sachs)	Business, buffer, then buybacks; repay from resources	Direct
Customer credit: CoreWeave structure, Helios II timing	J. Faucette (Morgan Stanley)	Parent-level leases; IG end customer; timing tied to Texas milestones	Direct / partial
Delivery timing; capex and funding: Helios II date, Phase III	E. Engel (Compass Point)	No fixed date, 2028 backstop; Phase III equity-funded	Partial
Power and permits	B. Knoblauch (Cantor)	Permits for current builds in hand; freeze not gating	Direct
Cost of debt: lender appetite, covenants	J. Petersen (Jefferies)	Existing facilities unaffected; lenders more conservative; no terms	Partial
Pricing: Helios revenue assumptions	M. Kim (Bloomberg)	No change to Phase II economics; GAAP clarification	Direct
Supply: long-lead equipment	B. Papanastasiou (Chardan)	$230mn committed; tight, not prohibitive	Direct
Capex and funding: credit markets	M. Toner (ATB Cormark)	Macro view; no need to tap markets before 1Q-2Q27	Partial

Matrix: every topic is 'new' (first transcript held). Nine of fourteen questions touched Helios, funding or power; five were crypto or tokenization. Nobody asked about cash rent, the working-capital outflow or tenant security, and management did not pre-empt them. Prepared remarks pre-empted the Phase II revenue footnote and the exchangeable.

Trevor's watch-list. Analyst chosen: Jonathan Petersen (Jefferies), the most credit-focused questioner (lender appetite and covenants); also tracking James Yaro (Goldman Sachs) on capital priorities. 3Q26: Petersen asked whether tighter lender terms affect existing facilities or the next raise; answer partial (existing facilities unaffected, lenders 'a lot more conservative', no terms). Later evidence to log: Phase III debt terms in 1H27. Open items: cash rent and receivable; tenant security; Phase III loan-to-cost; exchangeable repaid in cash; Helios II tenant credit; December audit.

3 KPI dashboard

Metric	3Q26	2Q26	3Q25	QoQ / YoY	Trend
Data center leasing revenue ($mn)	79.1	18.9	0	[↑] / [↑]	First full quarter
Implied rent ($/kW-month, 133 MW)	198	n.a.	n.a.	[?] / [?]	Phase I base ~$197
Data Centers adj. EBITDA ($mn)	68.7	11.5	3.7	[↑] / [↑]	86.9% of leasing revenue
Data Centers notes interest ($mn)	75.4	7.4	0	[↓] / [↓]	Phase II carry
Data Centers operating cash flow ($mn)	-129.1	-2.9	n.a.	[↓] / [?]	Working capital -152.2
Parent contributions, net ($mn)	439.4	142.1	n.a.	[↓] / [?]	Rising
Data Centers capex ($mn)	757	448	n.a.	[↑] / [?]	+69% QoQ
Delivered / contracted IT (MW)	133 / 526	133 / 526	0 / n.a.	[~] / [↑]	Next step 2Q27

Metric	3Q26	2Q26	3Q25	QoQ / YoY	Trend
Net income ($mn)	322.8	-85.3	505.1	[↑] / [↓]	Crypto-driven
Adjusted EPS ($)	0.83	-0.09	1.12	[↑] / [↓]	Swings with marks
Adjusted EBITDA ($mn)	454.7	-77.3	629.6	[↑] / [↓]	Volatile
Treasury & Corporate adj. EBITDA ($mn)	395.0	-78.2	375.8	[↑] / [↑]	BTC-led
Digital Assets adj. EBITDA ($mn)	-9.0	-10.5	250.2	[~] / [↓]	Loss-making
Average loan book ($bn)	1.8	1.4	1.8	[↑] / [~]	Rising
Cash, stablecoins and T-bills ($bn)	4.9	2.5	n.a.	[↑] / [?]	Incl. note proceeds
Notes payable, carrying ($mn)	6,748	3,263	1,150	[↓] / [↓]	Phase II notes
Total equity ($bn)	3.0	2.7	3.2	[↑] / [↓]	Buybacks offset income
Class A + B shares (mn)	388.5	391.4	n.a.	[↑] / [?]	Buybacks

For cost, debt and dilution lines [↓] means worse for shareholders. Sources: 3Q26 release (Ex.99.1) and financial supplement (Ex.99.3); 2Q26 from the 2Q26 release. n.a. = not disclosed.

4 Guidance analysis

Metric	Guidance	vs. prior	vs. consensus	Mgmt explanation	Analyst read
Phase I leasing revenue	~$80mn a quarter	Delivered $79.1mn	In line	First full quarter	No pushback
Exit-2027 leasing run-rate	$800-850mn annualized	New (call)	n.a.	Current Phase II delivery schedule	Needs 72-79% of Phase II billing
Phase II delivery	First halls 2Q27	Maintained	In line	Much of remaining spend 1H27	Not challenged
Phase II base revenue	$675mn at full turnover	Redefined (was $690mn avg)	n.a.	GAAP lease-accounting clarification	Bloomberg asked; accepted
Phase III funding	Equity-funded; debt 1H27	Maintained	n.a.	Structure set by markets	Lenders 'more conservative'
Helios II tenant	No date; 2028 halls, mid-2028 power	Later (was near-term talks)	Below hopes	Will not trade terms for timing	Pressed by 3 analysts
Exchangeable notes ($445mn, Dec)	Repay without refinancing	Maintained	n.a.	Cash on hand	Accepted
Share repurchase	New $200mn, opportunistic	New	n.a.	After business needs and buffer	Competes with build

Underlying economic performance: Data Centers on plan at the revenue line and still cash-negative while Phase II is built; the firm-level beat is cyclical (crypto marks).

→ The exit-2027 run-rate is the one new number; it needs most of Phase II billing by December 2027, so any 2Q27 slip shows up there first.

5 Strategic / moat evolution

Dimension	Condition	Direction	Key observations	Investment implication
Power access	Strong	Improving	>1.6 GW Helios I-II conditional Batch Zero; 2.6 GW study load; audit in Dec	Scarce asset; timing set by ERCOT
Site pipeline	Large, early	Stable	830 MW Helios II uncontracted; $230mn equipment committed	Value needs a second tenant
Tenant quality	Single, stressed	Stable	526 MW with CoreWeave parent; IG end customer today, can change	Caps the annuity multiple
Cost of capital	High	Stable	9.875% Phase II notes; Phase III equity first; lenders tighter	Thin spread over ~17% yield on cost
Execution speed	Good	Stable	Phase I on time; Phase II on budget	Supports re-leasing value
Contract discipline	Good	Improving	Walked away from a wrap it judged weak	Slower, better Helios II

5-10 year view: Helios is a scarce powered campus with a good build record. Compounding depends on a second, investment-grade tenant for Helios II and on refinancing the 2031 notes against long remaining lease terms; the call showed management will trade time for tenant credit, which helps the second and delays the

first.

6 Major risks and changes

Risk	Prior status	Current	Direction	Implication
Tenant credit (CoreWeave)	Debated	Parent-level leases behind GPU lenders; cash rent and security undisclosed	Up (clarified)	Drives equity and note value
Helios II leasing	Talks advancing	Summer deal dropped; IG-only search; no date	Up	Catalyst moves into 2027
Funding and carry	Phase II funded	Segment cash-negative; Phase III equity-first; lenders tighter	Unchanged	Parent liquidity tied to crypto
Power and permitting	Texas audit	Batch Zero conditional; permits not gating; Caspian denied	Down	Helios III/IV and Caspian later
Refinancing	$445mn exchangeables	Repay from resources; credit markets not needed until 1Q-2Q27	Down	Removes near-term overhang

Concern	Response	Evidence
Is rent being paid in cash?	Not addressed on the call; no analyst asked.	Segment operating cash flow -$129.1mn, working capital -$152.2mn; 10-Q needed.
Is the tenant credit worse than the lease suggests?	Leases are with CoreWeave's parent; the load serves an IG hyperscaler.	Parent-level claim ranks behind site-level GPU financings; end-customer allocation can change (Ferraro).

→ Structural subordination is the new credit fact: if CoreWeave restructures, Galaxy's claim sits behind lenders secured on the GPUs in its own halls.

7 Capital, funding and per-share impact

Site	MW (IT)	Tenant	Annual revenue	Capex	Funded by	Status
Helios I Ph. I	133	CoreWeave (parent)	$315mn	$1.8bn	DB loan up to $1.4bn, SOFR+4.75%	Paying rent; refi optional
Helios I Ph. II	260	CoreWeave (parent)	$675mn	$4.0bn est.	$3.5bn 9.875% notes 2031 + parent	Building; 2Q27
Helios I Ph. III	133	CoreWeave (parent)	n.d.	n.d.	Parent equity; debt 1H27	2028
Helios II	830 gross	None	n.a.	$230mn committed	n.a.	2028 halls
Caspian, Selene, Helios III	2.6 GW study load	None	n.a.	n.a.	n.a.	ERCOT; ~Apr 2027

Data Centers cash flows ($mn)	3Q26	2Q26
Operating cash flow	-129.1	-2.9
of which working capital	-152.2	-7.0
PP&E purchased (cash) / non-cash additions	-489.7 / 267.2	-395.6 / 52.3
Purchase of investments (T-bills)	-2,753.2	0
Notes issued, net / repaid	3,505.5 / -41.7	173.0 / 0
Contributions from / distributions to parent	514.4 / -75.0	142.1 / 0
Segment cash, end of period	759.7	228.0

Per share: annualized Phase I leasing revenue of ~$316mn is ~$0.81 a share and segment adjusted EBITDA ~$0.71 (388.5mn A+B shares). 3Q26 notes interest annualizes to ~$302mn and a full year of Phase II notes alone is ~$346mn, so interest exceeds segment EBITDA until Phase II rents. Yield on cost ~17.5% (Phase I) and ~16.9% (Phase II) vs 9.875% debt. Shares -0.7% QoQ on buybacks; market value ~$6.8bn at $17.38.

8 Monitoring checklist

Signals: (1) cash rent and deferred-rent balance in the 10-Q; (2) segment operating cash flow turning positive before Phase II rent; (3) December audit and April 2027 Batch Zero allocations; (4) Phase III debt terms vs 9.875%; (5) a Helios II LOI and the counterparty's rating.

Risks building: parent cash funding the build while the buyback runs; CoreWeave parent credit and subordination to GPU lenders; Helios II slipping past mid-2028.

Confirmation: cash rent disclosed and current; Phase III debt at or below Phase II cost; an investment-grade Helios II tenant on terms no weaker than Phase I.

Tripwires: any CoreWeave lease amendment, deferral or rent concession; CoreWeave reallocating Helios I load away from the IG customer; a Phase II slip; ATM sales near $17.

Questions for owners (pre-call questions, with how the call answered them)

Question for owners	Why it matters	Asked on the call?
How much cash rent did CoreWeave pay in 3Q26, and what is the -$152mn working-capital item?	Credit; pillar 1	No. Not asked or pre-empted; 10-Q must answer.
How much more parent equity goes into Phase III before debt, and at what loan-to-cost and coupon?	Credit; pillar 2	Partly. Equity-funded, debt 1H27, lenders tighter; no terms.
Apart from the revenue redefinition, has any CoreWeave lease term been amended this year: yes or no?	Equity; pillar 3	Partly. 'No change' to Phase II economics; no yes/no on amendments.
Why a $200mn buyback with $445mn of exchangeables due and the build cash-negative? Minimum liquidity?	Credit, dilution	Yes. Business, buffer, buybacks; notes repaid from resources; no number.
What dollar security backs the 526 MW, and is any of it investment-grade?	Credit; pillar 3	Partly. Parent-level leases; IG end customer; no security disclosed.
Any Helios II LOI, and would you sign another neocloud without an IG wrap?	Equity; pillar 4	Yes. No LOI; summer terms rejected; IG or IG-enhanced only.
CoreWeave's GPU lenders rank ahead of your parent-level claim. What does Galaxy recover if CoreWeave restructures?	Credit; pillar 3	New for 4Q26.

Read-across for Kona

The call shows how a landlord prices tenant credit: Galaxy walked away from a Helios II deal because an investment-grade wrap did not protect its debt and equity, and it now admits its CoreWeave leases sit at the parent, behind site-level GPU lenders. Kona should ask any GPU tenant for direct or wrapped credit at the entity that owns the chips, or prepaid rent covering debt service through the build, and price construction carry into rent (Galaxy's ~$198 per kW-month, grid-powered and near-triple-net, is a ceiling). Galaxy's own uncontracted 830 MW will not energize before mid-2028, so time-to-power remains Kona's edge.

— Josh (Trevor on Q&A). Strong first draft for CK; sources and checks in the Field Guide record.